

Designing a Jurisdiction-Aware RegTech Tool

——JurisFair BNPL Credit Monitor

Task 1 - Selection and Research

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1. Selected regulated entity

The selected regulated entity is Klarna Bank AB / Klarna Group. Klarna is a strong case because it combines BNPL / consumer credit products, automated creditworthiness assessment and cross-border financial services. Klarna Bank AB is authorised as a bank and supervised by the Swedish Financial Supervisory Authority, and Klarna states that it provides financial services in other EEA countries through passporting and local branches ^[1]. Klarna also offers US consumers flexible payment methods such as Pay in 4, Pay in 30 and pay-over-time options ^[2].

This selection fits the assignment better than a purely domestic lender because the project needs one named regulated entity with operations in the US and a non-US jurisdiction. Klarna also creates a realistic RegTech problem: the same automated or data-driven credit decision may need different compliance interpretation in the US and the EU.

2. Selected regulatory domain

The selected domain is credit scoring / creditworthiness assessment, with emphasis on algorithmic fairness, fair lending, adverse-action explainability and AI governance. This domain directly reflects the lecture theme that RegTech tools are political artefacts: a credit decisioning system distributes access to financial products, so regulatory design choices affect consumers, lenders and public policy goals.

3. Main regulatory divergence

Dimension	United States	European Union
Core concern	ECOA / Regulation B monitoring, adverse-action explanation specificity, fair lending risk and fair-access / unlawful debanking review.	EU AI Act high-risk AI governance for creditworthiness / credit scoring, including lifecycle risk management and human oversight.
Explanation logic	Specific and accurate reasons for adverse action are required even when complex algorithms are used ^[3] .	Explainability and traceability support technical documentation, auditability, logs and human oversight ^{[6]-[8]} .
Threshold philosophy	Statistical disparity is treated as a review trigger, not an automatic federal ECOA violation; the 2026 Regulation B final rule narrows the federal disparate-impact framing ^[5] .	Lower internal thresholds are used because high-risk AI governance is preventive, lifecycle-based and fundamental-rights oriented ^[6] .
Political /legal shift	Biden-era CFPB materials emphasised AI adverse-action explanations; the 2025 fair-banking order emphasises fair access and unlawful debanking ^{[3]-[5]} .	The EU AI Act treats creditworthiness / credit scoring AI as high-risk, so monitoring extends beyond the point of consumer denial ^[6] .

References and URLs

[1] Klarna Investor Relations, Governance Oversight.

<https://investors.klarna.com/governance/Governance-Oversight/>

[2] Klarna US Payments.

<https://www.klarna.com/us/payments/>

[3] Consumer Financial Protection Bureau, Circular 2022-03: adverse action notification requirements and complex algorithms.

<https://www.consumerfinance.gov/compliance/circulars/circular-2022-03-adverse-action-notification-requirements-in-connection-with-credit-decisions-based-on-complex-algorithms/>

[4] The White House, Guaranteeing Fair Banking For All Americans, 7 August 2025.

<https://www.whitehouse.gov/presidential-actions/2025/08/guaranteeing-fair-banking-for-all-americans/>

[5] Federal Register, Equal Credit Opportunity Act (Regulation B), final rule, 22 April 2026.

<https://www.federalregister.gov/documents/2026/04/22/2026-07804/equal-credit-opportunity-act-regulation-b>

[6] Regulation (EU) 2024/1689, Artificial Intelligence Act, EUR-Lex.

<https://eur-lex.europa.eu/eli/reg/2024/1689/oj/eng>

[7] EU AI Act Service Desk, Article 10: Data and data governance.

<https://ai-act-service-desk.ec.europa.eu/en/ai-act/article-10>

[8] EU AI Act Service Desk, Article 18: Documentation keeping.

<https://ai-act-service-desk.ec.europa.eu/en/ai-act/article-18>